Court of King's Bench of Alberta

Citation: Cleo Energy Corp (Re), 2025 ABKB 621

2025 ABKB 621 (CanLII)

Date: 20251110
Docket: B301 163430
Registry: Calgary

IN THE MATTER OF THE ***BANKRUPTCY AND INSOLVENCY ACT***, RSC 1985, C B-3, AS AMENDED
AND IN THE MATTER OF THE NOTICE OF INTENTION TO MAKE A PROPOSAL OF CLEO ENERGY CORP.

Corrected judgment: A corrigendum was issued on November 10, 2025; the corrections have been made to the text and the corrigendum is appended to this judgment.

Reasons for Decision
of the
Honourable Justice Colin C.J. Feasby

I. Introduction

[1] Reverse Vesting Orders ("RVOs") burst on to the scene in 2019. Since then, RVOs have gone from "extraordinary to ordinary."[1] The present application by the Receiver of Cleo Energy Corp. ("Cleo") for approval of an RVO involves what before 2019 would likely have been a standard oil and gas transaction implemented through a *Companies' Creditors Arrangement*, RSC 1985, c C-36 ("*CCAA*") plan or a traditional approval and vesting order ("AVO"). The present application raises two questions relevant to insolvency and restructuring practice in the oil and gas industry and a third question of broader application.

[2] The first question that must be decided is if the RVO structure is necessary in the present case. ***Harte Gold (Re)***, 2022 ONSC 653, the leading RVO case, held that an RVO must be necessary. The Receiver asserts that the proposed RVO transaction is necessary because it is

[1] Victor Olusegun, "The Journey of Reverse Vesting Orders from 'Extraordinary' to Ordinary: Is it Time for Parliamentary Intervention?" (2024) 22 Annual Review of Insolvency Law 16.

more efficient than alternative transaction structures and it is required by the purchaser. The second question that must be decided is whether the RVO structure may be used to shed liability for cure costs relating to unpaid royalties owing pursuant to Crown petroleum and natural gas leases. The third question, raised by Employment and Social Development Canada ("Employment Canada"), concerns potential adverse consequences for employees who made Wage Earner Protection Program ("WEPP") claims because of use of the RVO structure.

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II. The Cleo Energy Corp. Receivership Proposal

[3] Cleo is a private oil and gas company that owned and operated assets in East Central Alberta. Cleo filed a Notice of Intention to Make a Proposal ("NOI") pursuant to section 50.4(1) of the *Bankruptcy and Insolvency Act*, RSC 1985, c B-3 ("*BIA*") on December 8, 2024. During the NOI proceedings, some of Cleo's assets were sold through a sales and investment solicitation process. However, not all Cleo's assets were sold within six months of Cleo filing the NOI. So, to avoid a deemed bankruptcy pursuant to s 50.4(8) of the *BIA*, uCapital – uLoan Solutions Inc. (the "Interim Financier") applied for and was granted a receivership order on June 2, 2025. Alvarez & Marsal Canada Inc. was appointed as receiver (the "Receiver").

[4] The Receiver conducted what it called a remarketing process to sell the Cleo assets that were not sold in the sales and investment solicitation process conducted during the NOI proceedings. The remarketing process engaged with 37 potential interested parties of which 11 signed non-disclosure agreements to gain access to the virtual data room. Eight non-binding bids resulted from the remarketing process. The receiver selected 2698902 Alberta Corporation (the "Purchaser") as the successful bidder.

[5] The Receiver proposes that the transaction be effected by way of an RVO. The proposed RVO contemplates the creation of ResidualCo that will take on assets, liabilities, and contracts that the Purchaser does not want. Cleo, which will be acquired by the Purchaser, will retain, among other things, "the Retained Contracts, the Title and Operating Documents, Petroleum and Natural Gas Rights...."

[6] The Receiver stated in its First Report that the RVO structure is "essential to maximize value...." The Receiver explained that "[b]y using an RVO, the Purchaser can avoid seeking AER approval for multiple licence transfers, a process that could be lengthy and introduce additional risk and cost to the Transaction and deplete the remaining cash on hand for distribution to creditors." Further, the Receiver reported that "[t]he Purchaser has advised the Receiver that it is only prepared to proceed with a reverse vesting transaction, rather than a traditional asset purchase, as this structure allows for the efficient transfer of applicable licences and contracts." The Receiver stated that it "considers the Purchase Price being paid to reflect:

> (i) the importance and value of the time it would take to undertake the additional steps required by the AER under a traditional asset sale/vesting order transaction; and
>
> (ii) the value attributable to certain of Cleo's attributes which may be preserved.

[7] Despite offering this opinion, the Receiver gave no estimate of the time it would take to complete AER licence transfers or any explanation of what "attributes" of Cleo that would be preserved or why such attributes might have value sufficient to justify proceeding by way of

RVO. Presumably, if the Receiver is prepared to offer an opinion to the Court concerning the purchase price and the "value of time" required to effect licence transfers, it must have conducted some analysis to support that opinion. There is no support for the Receiver's opinion to be found in either its First Report or Supplement to the First Report.

[8] The Receiver asserts that alternatives to the proposed RVO "would in all likelihood result in material environmental liabilities and abandonment and reclamation obligations being transferred to the OWA." Again, no evidence or analysis was offered to substantiate this claim other than to point out that other bids contemplated environmental liabilities being assumed by the OWA.

[9] The proposed RVO provides that Cleo will retain Crown mineral leases with the liabilities for unpaid royalties and rent being transferred to ResidualCo. As I will explain, this is a departure from the usual insolvency and restructuring treatment of executory contracts.

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III. Reverse Vesting Orders ("RVOs")

[10] Courts often say that a RVO is an "extraordinary" remedy: see, for example, ***British Columbia v Peakhill Capital Inc***, 2024 BCCA 246 at para 32. Courts also say this about injunctions: see, for example, ***Unifor, Local 707A v Suncor Energy Inc***, 2018 ABCA 75 at para 8. This is not helpful and needs to stop. Using the adjective "extraordinary" to describe something indicates it is unusual or remarkable. A conclusion that something is extraordinary is a product of observation, not legal analysis. As I said in ***R v TGB***, 2023 ABKB 526 at para 5, "[e]mphasizing the extraordinary nature of a remedy, its rarity, or that it is a last resort says nothing about the legal test to be applied; instead, it encourages the trial judge to close her mind to the availability of the remedy." A bigger problem with saying that RVOs are extraordinary is that it is not true. RVOs are now a common way for insolvency and restructuring matters to be resolved. I refuse to subscribe to the polite fiction that RVOs are extraordinary in 2025.

[11] Justice Penny's framework in ***Harte Gold*** at para 38 for analyzing if an RVO should be granted has been adopted widely, including by the Alberta Court of King's Bench: see, for example, ***Delta 9 Cannabis Inc (Re)***, 2025 ABKB 52 at para 61and ***Long Run Exploration Ltd (Re)***, 2024 ABKB 710 at para 18. Justice Penny in ***Harte Gold*** explained that before an RVO is granted, a court must consider four questions:

> (a) Why is the RVO necessary in this case?
>
> (b) Does the RVO structure produce an economic result at least as favourable as any other viable alternative?
>
> (c) Is any stakeholder worse off under the RVO structure than they would have been under any other viable alternative? and
>
> (d) Does the consideration being paid for the debtor's business reflect the importance and value of the licences and permits (or other intangible assets) being preserved under the RVO structure?

[12] Penny J in ***Harte Gold*** at para 38 also observed that an RVO should not be approved just because "it may be more convenient or beneficial for the purchaser."

[13] Justice Marion in ***Delta 9*** at paras 61-62 explained other criteria that may be considered by a court before granting an RVO, but for the present case I will focus on the ***Harte Gold***

factors as that is how all the interested parties framed their submissions. And, further, I will address only the two ***Harte Gold*** factors that were disputed by the parties.

IV. Should the Receiver's Application to Approve the Cleo RVO be Granted?

A. Is the RVO Structure Necessary in this Case?

[14] An important preliminary question is whether the necessity criterion should be taken seriously. The RVO criteria from ***Harte Gold*** are a recent judicial invention; the ink is not yet dry. Outside the cannabis industry, which is arguably a special case, RVOs are often used in restructurings where previously *CCAA* plans or AVOs would have been used. Though the RVO cases have repeatedly affirmed the necessity criterion, the proliferation of RVOs and what courts have found to constitute necessity suggests that a lower standard is being applied. The analysis that follows takes the caselaw at face value and proceeds on the basis that necessary means necessary. With that said, appellate guidance on the question of whether an RVO must be necessary before it may be approved would be of great assistance to lower courts and insolvency and restructuring professionals.

[15] Justice Simard, shortly before his appointment to the bench, and his co-authors compared AVO transactions with RVO transactions with a focus on the oil and gas industry in Chris Simard, et al, "Restructuring and Insolvency Deals in the Oil Patch: Recent Trends and Developments" (2022) 60 Alberta Law Review 363 at 388-92. An AVO, they explained, "allows for the removal of the *assets* from the debtor's insolvent estate." A shortcoming of a standard AVO is that it does not "allow for the purchase and sale of attributes of the debtor company that are *not* assets."

[16] The traditional way for non-asset attributes to be conveyed in insolvency proceedings is via a plan under the *CCAA* or a proposal pursuant to the *BIA*. Both *CCAA* plans and *BIA* proposals provide creditors the right to vote and a claims process. Justice Simard explained at 389, "a court-approved Plan can, in essence, deliver to a third party the ownership of a debtor company that has been 'cleansed' of all creditor claims but that still retains all its assets, along with all inherent corporate attributes that are not assets (such as tax attributes and regulatory licences)." An RVO delivers the benefits of a *CCAA* plan or *BIA* proposal without the messiness and expense associated with creditor democracy: see, Daniel Alievsky, "Reverse Vesting Orders: Did We Forget About Creditor Democracy?" (2023) 12:7 IIC-ART 143 at 149.

[17] The Receiver has identified one reason why an RVO structure must be used in the present case – to avoid the transfer of licences issued by the Alberta Energy Regulator ("AER"). The Receiver asserts that the transfer of licences will take time and cost money which, in turn, will create more risk and reduce the return to Cleo creditors. The Receiver also states that the Purchaser made proceeding by RVO a condition of its offer. I agree with Mr. Alievsky who contends at 152 that "courts should compel parties to explain why and on what evidentiary basis they assert the RVO is not just economically advantageous to its stakeholders, but also better than any alternative." Where it is claimed that there is an obstacle to proceeding using alternative structures such as the cost, risk, and delay of licence transfers, that must be substantiated.

[18] The proposed transaction could be completed by way of a *CCAA* plan. Proceeding by way of a *CCAA* plan would allow Cleo to avoid the licence transfer problem that it has identified. But proceeding by way of a *CCAA* plan would mean that Cleo would have to deal with the

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inconvenience and expense of affording creditors their statutory rights under the *CCAA* when there will be no recovery for most creditors. I note that neither the Receiver's First Report nor its Supplement to the First Report offers any reasons why a *CCAA* plan is not feasible. Nevertheless, I will consider the Receiver's contention that the transfer of licences necessitates use of an RVO structure.

[19] The cost, delay, and risk associated with the transfer of licences has been found to justify the use of an RVO structure. For example, the non-transferability of licences in the cannabis industry has been a significant factor driving the increased use of RVOs: ***Atlas Global Brands Inc***, 2024 ONSC 5570 at para 36; ***Delta 9*** at para 69. But the transfer of licences has also been used to justify RVOs in the mining industry and the oil and gas industry where licences are transferrable: see, for example, ***Harte Gold*** and ***Razor Energy Corp, Razor Holdings GP Corp, and Blade Energy Services Corp (Re)***, 2025 ABKB 30 at para 32. Justice Penny in ***Harte Gold*** at para 71 explained:

> The principal objective and benefit of employing the RVO approach in this case is the preservation of Harte Gold's many permits and licences necessary to conduct operations at the Sugar Loaf Mine. Under a traditional asset sale and AVO structure, the purchaser would have to apply to the various agencies and regulatory authorities for transfers of existing licences and permits or, if transfers are not possible, for new licences and permits. This is a process that would necessarily involve risk, delay, and cost. The RVO sought in this case achieves the timely and efficient preservation of the necessary licences and permits necessary for the operations of the Mine.

[20] Justice Penny later noted at para 73 that these were "material risks, delays, and costs" [emphasis added]. Presumably the applicant provided him with evidence to substantiate the materiality of risks, delays, and costs associated with the licence transfers.

[21] The problem in the present case is that delays, risks, and costs associated with the transfer of AER licences are asserted but not proved. Sometimes in Commercial List matters, the Court will accept assertions made by insolvency and restructuring professionals who serve as Monitors, Trustees, and Receivers. But I cannot do so here because the claim runs contrary to common sense.

[22] Oil and gas licence transfers are an everyday part of business in the oilpatch. Part of the AER's job is to process licence transfers. While it is true that parties sometimes structure transactions as share deals or, in the context of insolvency, use *CCAA* plans to avoid the hassle and expense of licence transfers that does not mean that avoidance of licence transfers is always necessary. If the Receiver claims that the burdens associated with licence transfers necessitate that this transaction use an RVO structure, those claims must be substantiated.

[23] To be clear, I am not saying that the Court requires sworn testimony from the Receiver. Rather, I mean that the Receiver's report should show that the Receiver has done the work to determine what the delays, risks, and costs associated with licence transfers are likely to be. For example, instead of asserting that there will be delays, costs, and risks associated with the licence transfers, the Receiver should specify what delays, costs, and risks are apprehended and why the Receiver believes those concerns to be genuine and material. Put differently, the Receiver must provide backup to justify its conclusion respecting the materiality of the risks, delays, and costs associated with the required licence transfers.

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[24] I accept that it is possible that the cost of AER licence transfers may be material to the proposed transaction given that much of the deal consideration is comprised of assumed liabilities that would otherwise be transferred to the Orphan Well Association ("OWA"). But for me to reach such a conclusion, the Receiver must provide an estimate of the costs associated with the AER licence transfers and a reasoned explanation why the estimated amount is material to the proposed transaction.

[25] The fact that the Purchaser requires that the proposed transaction proceed by way of an RVO does not move me. Purchasers always demand what is most favourable from their perspective. The Purchaser has agreed to acquire Cleo's assets for a substantial consideration which includes cash and assumed environmental liabilities. The Court must assume that the Purchaser will behave rationally. Under the circumstances, if an RVO is not available as a deal structure, the economically rational thing for the Purchaser to do is not to walk away but to negotiate a reduction of the purchase price by the amount that it estimates it will have to pay to effect the licence transfers. Perhaps there are other factors, such as tax, that might affect the price the Purchaser is prepared to pay but that is not clear from anything before the Court. The bottom line is that there is no cogent explanation offered by the Receiver as to what the financial impact is of using structures other than the proposed RVO. Assertions that the transaction must be an RVO are not enough to establish that it is necessary.

B. Is Any Stakeholder Worse Off Under the RVO Structure?

i. Viable Alternative?

[26] ***Harte Gold*** requires the Court to consider if any stakeholder is worse off under the RVO structure than they would have been under any other viable alternative. The Receiver submits that there are no viable alternatives to the proposed transaction. The Receiver says that the proposed transaction is the only bid received in the remarketing process that would not result in properties being transferred to the OWA. The Receiver further submits that "[a]ny proceeds derived from these hypothetical alternative transactions would not result in proceeds going to satisfy Alberta Energy's alleged cure costs. Instead, the proceeds would be paid to the OWA...."

[27] The Receiver's argument attacks a straw man. The viable alternative is not one of the seven rejected bids; it is a differently structured transaction with the successful bidder. As I noted before, the Court must assume that the Purchaser will act in an economically rational way. The viable alternative to the current RVO structure that absolves the Purchaser of responsibility for paying Alberta Energy cure costs is an RVO where the Purchaser is required to pay cure costs. That means that the Purchaser would take on a liability of $150,000 that it is not under the current structure. A rational economic actor would not walk away; it would reduce the purchase price by a corresponding amount. I note that even with a $150,000 reduction in purchase price, the Purchaser would still have the highest bid.

[28] Since I have found that the Receiver has not established that an RVO is necessary, it is appropriate to also consider if there is a non-RVO viable alternative. The difficulty with this is that the Receiver has constructed a binary choice between the proposed RVO and the seven unsuccessful bids. Given value that the Purchaser has offered under the proposed RVO structure, it is possible, that a restructured version of the transaction without using the RVO mechanism would still be preferable to the seven other bids. The failure of the Receiver to engage with this possibility leaves the Court unable to assess whether there is a non-RVO viable alternative.

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ii. Crown Lease Cure Costs

[29] Cleo owes Alberta $170,000 in unpaid royalties and $70,000 in unpaid rent in respect of its Mineral Leases. Of the total $240,000 owing by Cleo to Alberta, $90,000 is post-filing debt which the Receiver has confirmed will be paid. The RVO contemplates that "Crown Liabilities," which is the $150,000 pre-filing debt for unpaid royalties and rent, will be vested in ResidualCo while the Mineral Leases will remain in Cleo. The RVO allows Cleo to retain the Mineral Leases without paying the arrears to Alberta.

[30] Most oil and gas rights in the province are owned by Alberta. From time to time, Alberta conducts public sale processes where oil and gas companies may bid for Crown oil and gas rights. After a sale, Alberta Energy will issue the successful bidder a petroleum and natural gas lease which is sometimes called a PNG Lease or Mineral Lease. A Mineral Lease grants the lessee the right to drill for, and recover, oil and gas within the leased area. A Mineral Lease does not grant mineral ownership to the lessee; Alberta remains the owner. In exchange, the lessee is required to pay royalties and rent to Alberta.

[31] Tracy Wadson, Alberta's Director, Royalty Operations swore an affidavit describing how Alberta Energy approaches the transfer of Mineral Leases in insolvency matters as follows:

> Upon sale of an insolvent's Mineral Leases (in an asset sale, not a share purchase arrangement), the receiver or trustee requests that Alberta Energy transfer those Mineral Leases to the name of the purchaser.
>
> Under s 18(2) of the [*Mines and Minerals*] Act [RSA 2000, c M-17], and, in particular, s 5(1)(g) of the *Crown Minerals Registration Regulation*, AR 264/1997 (the **Regulation**"), the Minister (through Alberta Energy) is authorized to refuse the transfer of a Crown agreement.
>
> Alberta Energy requires payment of cure costs (i.e. the Crown Liabilities – the monetary defaults under the Mineral Lease) before it will transfer Mineral Leases to the purchaser (the "**Transfer Requirement**").
>
> Alberta Energy routinely enforces the Transfer Requirement in insolvency asset transactions and, based on my experience, both industry and receivers/trustees are aware of the Transfer Requirement.

[32] Ms. Wadson's affidavit did not speak to Alberta Energy's approach when a debtor is restructured pursuant to a *CCAA* plan. She did, however, explain that Alberta Energy's standard approach when royalties and rent are not paid is to issue a Notice of Default as a first step toward cancelling the relevant Mineral Lease. Presumably this means that where a debtor retains Mineral Leases under a *CCAA* plan, Alberta Energy requires payment of royalty and rental arrears to maintain the Mineral Leases going forward.

[33] Cleo's Mineral Leases are what are sometimes called executory contracts because there are ongoing obligations: ***Kary Investment Corporation v. Tremblay***, 2005 ABCA 273 at paras 19-20. Receivers have the power to adopt or reject executory contracts: Frank Bennett, *Bennett on Receiverships*, 4th ed, (Toronto: Thomson Reuters, 2021) at 557-65; ***Spyglass Resources Corp v Bonavista Energy Corporation***, 2017 ABQB 504 at para 67. Executory contracts that are rejected give rise to claims that may be proved in the receivership process: ***Bellatrix Exploration Ltd (Re)***, 2021 ABCA 85 at para 44. Receivers adopt executory contracts when they help to maximize value for creditors. This occurs when the executory contract is advantageous or

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essential to a restructuring business and will make the business more attractive to a potential purchaser. When a receiver adopts an executory contract, monetary defaults in respect the executory contract must be cured: Simard et al, "Restructuring and Insolvency Deals in the Oil Patch" at 373. Put differently, if a receiver decides to keep a contract, it must keep both the benefits and the burdens of the contract.

[34] The treatment of executory contracts in the *CCAA* context is similar. Where a debtor company is restructured and an executory contract is retained, the counterparty may demand payment of cure costs as a condition of ongoing performance. Where a *CCAA* plan calls for the assignment of an executory contract, *CCAA* s 11.3(4) precludes a court from making an assignment order "unless it is satisfied that all monetary defaults in relation to the agreement ... will be remedied on or before the day fixed by the Court."

[35] I must pause here to address the question of fairness. Is the payment of cure costs to Alberta Energy fair to the Purchaser and to creditors of Cleo? Yes, it is. The reason that the Purchaser is buying Cleo is because it has Crown oil and gas rights and, in turn, that is why consideration is flowing to creditors. The only reason that Cleo has oil and gas rights is because it has the Mineral Leases. There is nothing unfair about requiring the Purchaser to pay cure costs to maintain the Mineral Leases.

[36] The present application is the second time in the last two months before this Court where a restructuring entity sought to retain the benefit of an executory contract while absolving itself of the responsibility to remedy monetary defaults through the device of an RVO. In ***AlphaBow Energy Ltd (Re)***, 2025 ABKB 550, many months after the approval of an RVO, the applicant sought to amend the RVO to retain a contract with a third party for the purchase of carbon dioxide while shedding liabilities associated with the contract. Justice Johnston observed at para 52 that that the applicant had disclaimed the contract in the first instance because it hoped to negotiate a new contract that would avoid payment of cure costs. Justice Johnston declined to exercise her discretion to permit the amendment of the RVO to permit the applicant to retain the contract while shedding the associated liabilities.

[37] Though the Receiver did not provide any cases where courts have approved RVOs where the receiver or purchaser is not required to pay cure costs for retained contracts, I note that it has occurred: see, for example, ***Acerus Pharmaceuticals Corporation (Re)***, 2023 ONSC 3314 at para 31. The language used by Justice Penny in ***Acerus*** suggests, however, that parties whose contracts were retained in that case were allowed to choose to perform or terminate the contracts where cure costs are not paid. He explains at para 31 that the RVO "does not require FGC to cure pre-filing arrears under the Retained Contracts," and that such parties "have the opportunity to continue supplying goods and services to the applicants post-CCAA proceedings if they choose to do so." This is quite different than what is proposed in the present case. I also note that despite the precedent in ***Acerus***, RVOs continue to require the payment of cure costs: see, for example, ***Razor Energy Corp*** at para 60.

[38] I remain open to the possibility that there may be cases where an RVO that provides for the retaining contracts without a corresponding obligation to pay cure costs can be justified, but this is not one of them. The payment of cure costs to Alberta Energy is a reasonable price for the Purchaser to pay to get the ongoing value of the Mineral Leases and it will cause a justified decrease in the value to be received by the creditors of Cleo on their claims.

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[39] The use of RVOs to allow contracts to be retained without payment of cure costs alters the incentive structure around insolvency. Moreover, allowing contracts to be retained without payment of cure costs is a curtailment of the principle of freedom of contract beyond what is normal in insolvency proceedings. These are matters that demand consideration by appellate courts and legislators.

iii. Potential Clawback of WEPP Payments

[40] Employment Canada appeared at the application to advise the Court of potential adverse consequences of the RVO for former employees. Employment Canada, however, maintained that it was not taking a position on the appropriateness of the RVO.

[41] Employment Canada advised the Court that pursuant to the *Wage Earner Protection Payment Act*, S.C. 2005, c. 47 ("*WEPPA*") former employees of Cleo who had received payments pursuant to WEPP could have their payments clawed back if the RVO is approved.

[42] *WEPPA* s 5 outlines the eligibility criteria for employees whose former employer is in receivership. The key requirements are that "the former employer is subject to a receivership" and that "the individual is owed eligible wages by the former employer."

[43] Employment Canada submits:

> Should the RVO be granted, the liabilities related to unpaid wages of the former employees of Cleo would be transferred to ResidualCo. Equally, Cleo would emerge from the receivership proceedings and continue to carry on its business operations as a viable corporation.
>
> Following the issuance of the RVO, the eligibility criteria under s. 5(1)(b)(ii) and 5(1)(c) of the WEPPA would no longer be met and, the objective of the WEPP would equally be undermined. As a result, this would likely affect the former employees' entitlement to WEPP benefits and lead to an overpayment of program benefits, which would be subject to recovery.

[44] Employment Canada further states that whether the conditions for eligibility are met is within the exclusive discretion of the Minister responsible for *WEPPA*, subject to an appeal before the Canada Industrial Relations Board, which, in turn, is subject to judicial review under the exclusive jurisdiction of the Federal Court of Appeal.

[45] Employment Canada's submission is, in essence, a warning that following the approval of the Cleo RVO, payments to former employees of Cleo may be clawed back followed by a warning that this Court has no say in the matter. I beg to differ. Justice Collier in ***Arrangement relatif à Former Gestion Inc***, 2024 QCCS 3645 at para 34 dispensed with a similar argument by Employment Canada as follows:

> [T]he relevant time for determining when WEPPA applies is the moment at which all an insolvent entity's employees are terminated due to a bankruptcy or restructuring. That is when the employee's entitlement to compensation arises and neither the Act nor the regulations indicate that circumstances arising after the termination are relevant.

[46] I agree. WEPP exists to protect employees from the adverse consequences of the insolvency of their employer. Terminated employees have no control over how insolvency and restructuring transactions are structured after their termination. Terminated employees who have

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received WEPPs payment and have no inkling of the possibility of a clawback may have used the money to pay for groceries or rent. A choice to clawback payments made to terminated employees of an insolvent corporation because of subsequent events beyond their control would be to the immense discredit of the Minister and, I would hope, be swiftly reversed by the Canada Industrial Relations Board or the Federal Court of Appeal.

V. Conclusion

[47] The Receiver's application is dismissed without prejudice to its ability to apply again for approval of the proposed transaction with additional supporting material and/or for a restructured transaction.

Heard on the 17th day of October, 2025 with additional written submissions received on the 22nd and 24th of October.
Dated at the City of Calgary, Alberta this 28th day of October, 2025.

Colin C.J. Feasby
J.C.K.B.A.

Appearances:

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Melissa N. Burkett, Alberta Justice
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Daniel Segal, Department of Justice Canada
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George Wong,
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Ryan Zahara, MLT Aikins,
for the Orphan Well Association

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Corrigendum of the Reasons for Decision
of
The Honourable Justice Colin C.J. Feasby

A change was made to the list of lawyers who appeared in this case.

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